Policy Economy Wage growth

Wages jump as care workers and public servants get pay rises



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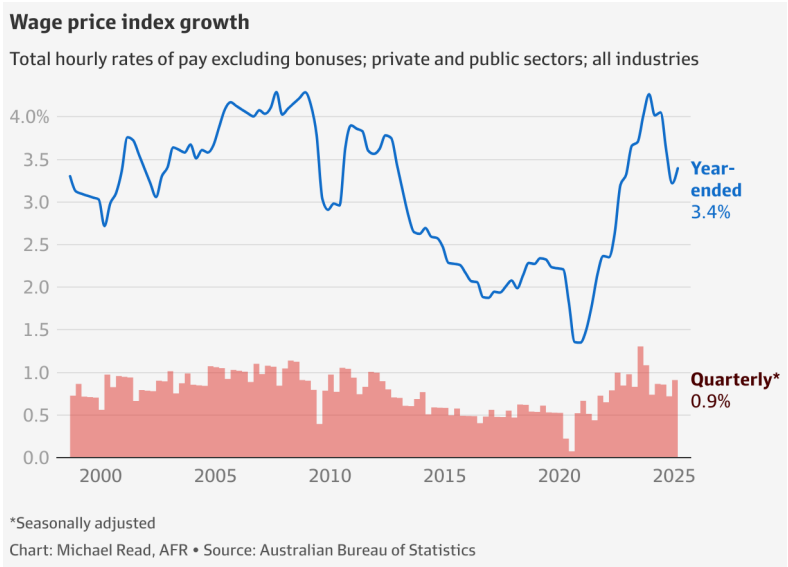
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Generous pay deals for public servants and federal government-funded wage rises for aged care and childcare workers cannot be sustained without efforts to increase productivity, economists have warned.

Annual wages growth accelerated to 3.4 per cent in March from 3.2 per cent in December, the Australian Bureau of Statistics said on Wednesday, as aged care and childcare workers received their first instalment of generous pay rises ordered by the Fair Work Commission.

Economists agreed the figures would not stop the Reserve Bank of Australia from cutting the cash rate to 3.85 per cent from 4.1 per cent when the board meets next Monday and Tuesday, with little evidence that wage pressures were rising outside occupations where the government had intervened.

They warned, however, that current wage growth rates were not sustainable over the medium term, given that productivity was flatlining.

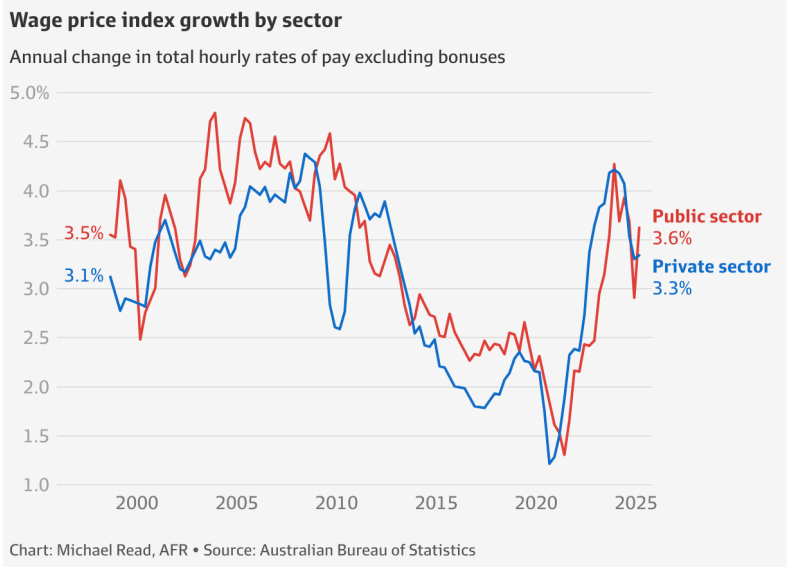


“If productivity growth does not pick up, the inevitable question will be whether the strong wages growth will flow through to inflation,” KPMG chief economist Brendan Rynne said.

The quarterly pace of wage growth jumped to 0.9 per cent in March from 0.7 per cent in December across the private sector, and to 1 per cent from 0.7 per cent across the public sector, according to the ABS.

The ABS said the acceleration in private sector pay growth was owed to Fair Work Commission-ordered pay rises for childcare workers and aged care workers, supported by the Albanese government. The decisions led childcare workers to receive a 10 per cent pay boost in the March quarter, while aged care employees received increases of between 2.3 per cent and 13.5 per cent.

Across the public sector, the ABS also said new pay deals struck by state governments helped to drive up wages growth.



Asked whether it was dangerous for wages growth to outstrip productivity, Treasurer Jim Chalmers said there had been no evidence that wages growth was fuelling inflation.

“One of the most pleasing aspects of this wages data is we’re getting wages growth at

the same time as inflation is coming down. This shows just how spectacularly wrong some people have been when they've talked about fears of a wage price spiral in our economy," Chalmers said.

NAB senior economist Taylor Nugent said he expected the extra pay for childcare and aged care workers would add an additional 0.25 percentage points to annual wages growth over this year and next.

IFM chief economist Alex Joiner said the re-acceleration in wages growth in the absence of productivity growth could be of concern to the RBA.

Chalmers has nominated growing productivity as the biggest priority for the Albanese government's second term. Labour productivity has not increased in almost a decade.

Inflationary pressure

EY senior economist Paula Gadsby said the RBA was counting on productivity growth improving its long-run average rate to ensure this level of wages growth did not create inflationary pressure moving forwards.

Wages growth surged over 2023, hitting a 15-year high of 4.2 per cent as workers took advantage of the strongest jobs market in decades. The surge raised fears in the RBA that the economy could be on the brink of a wages-inflation spiral.

But those fears dissipated over the past year as wages growth slowed, even as the jobs market remained strong.

The RBA said in February that the jobs market may not be as tight as suggested by the 4.1 per cent unemployment rate, pointing to a decline in the number of workers

switching jobs – a key metric of the strength of the labour market.

“This decline in job-switching has been driven by lower job mobility within the market sector and suggests that inter-firm competition to attract and retain staff has eased,” the RBA said in its quarterly statement on monetary policy.

“As a result, there may be less upward pressure on wages in the near term than implied by other measures of labour market tightness, such as the unemployment rate.”

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